

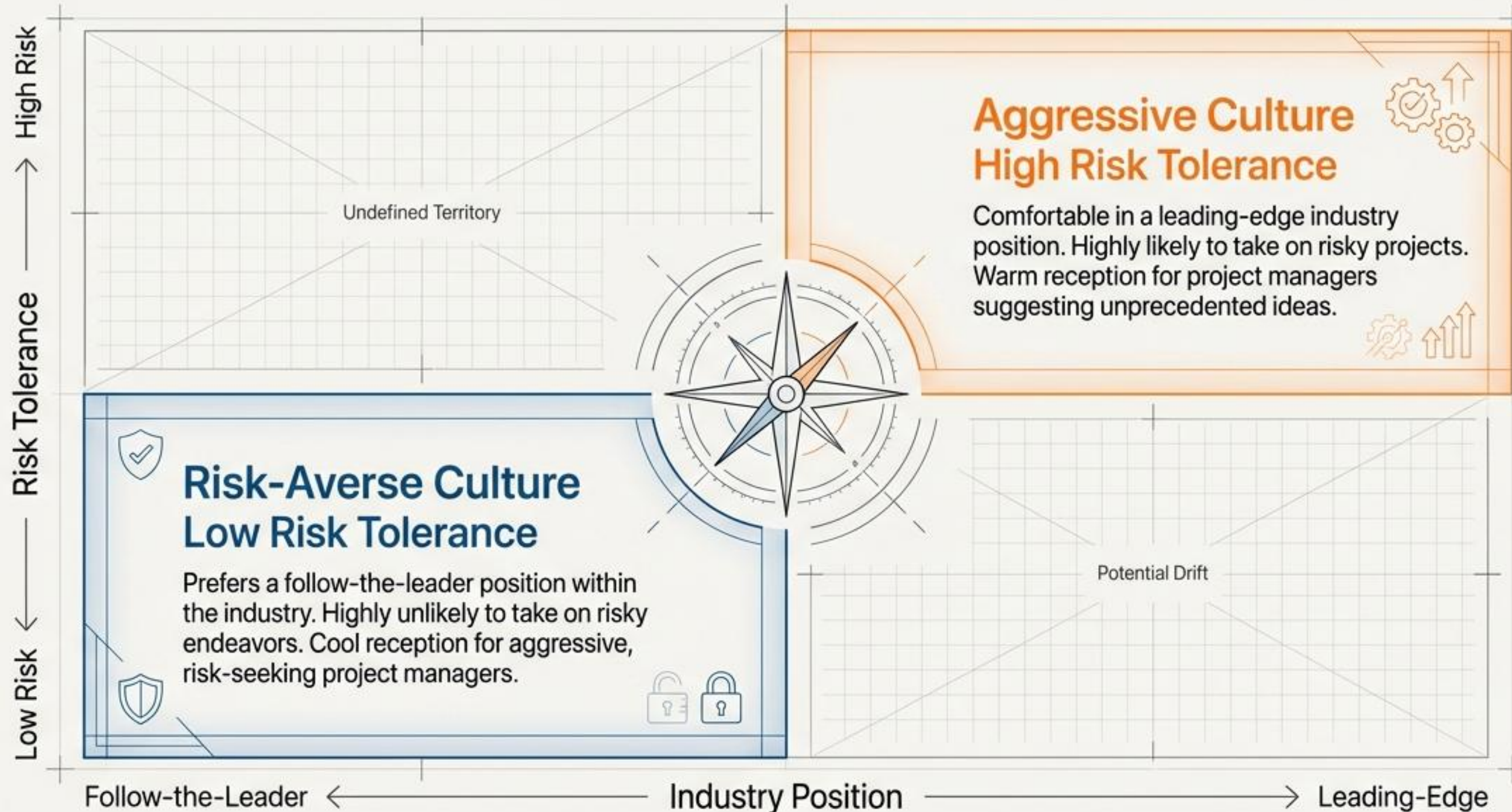


Certyfikat PMP: Projects in Organizations

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Understanding how organizational design dictates project authority, resource control, and execution strategy.

Culture Dictates Project Feasibility



Key Takeaway: Organizations are not just passive backgrounds; their styles, cultures, and communication avenues actively constrain or empower project success.

The Authority Continuum

The key to defining an organization is measuring how much authority senior management delegates to project managers.



Exam Spotlight: According to the PMBOK® Guide, this continuum influences: PM Authority Level, Resource Availability, Budget Control, PM Role, and Team Makeup.



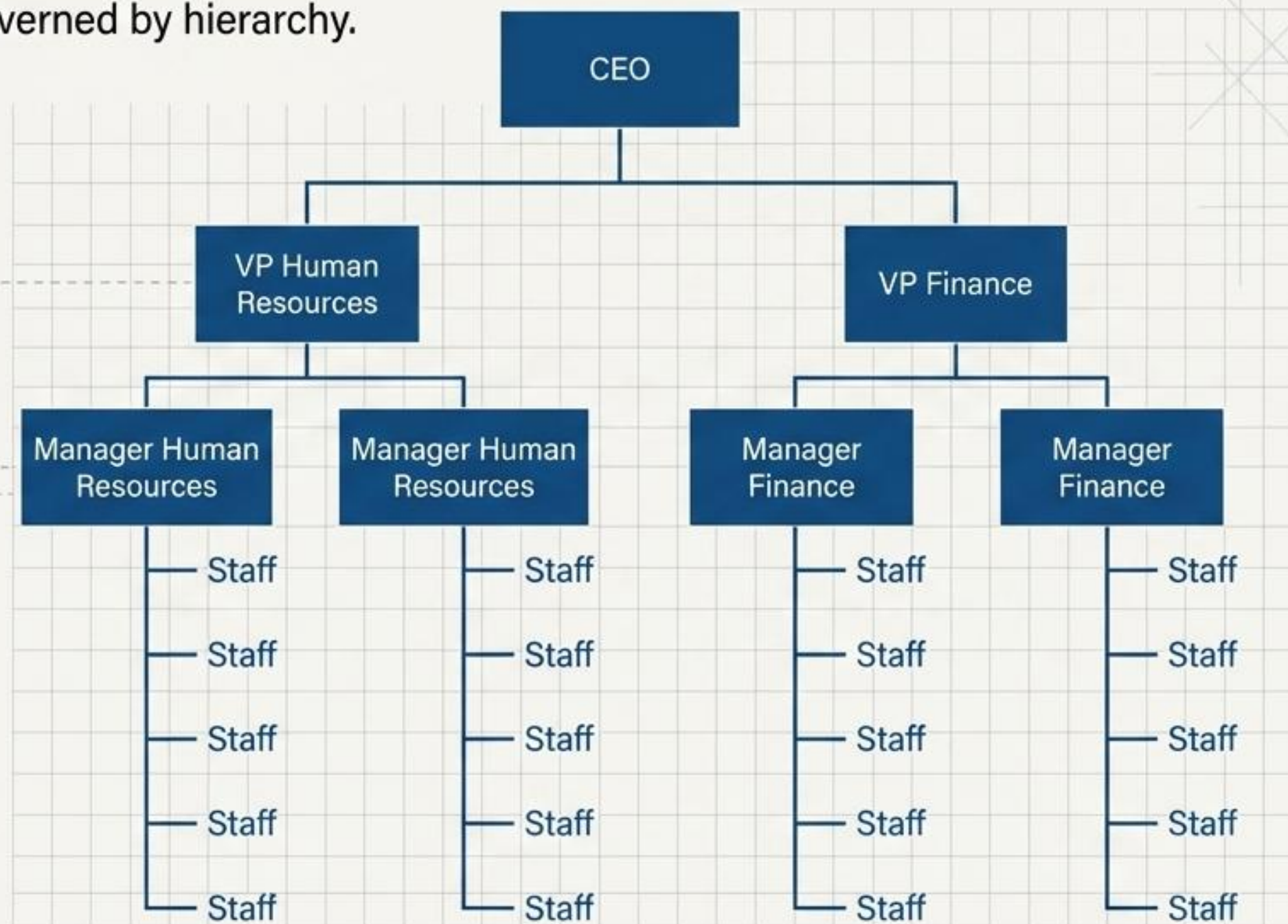
The Functional Organization

The traditional approach: grouped by specialty, governed by hierarchy.

Key Characteristics

- Centered on specialties (HR, Finance, Marketing).
- Enduring structure with clear, upward career paths.
- Employees report to only one manager (strict chain of command).
- Project authority rests exclusively with the Vice President or Senior Department Manager.

Chain of Command



100% Blue = Functional and Operational Authority
Deep Architectural Blue

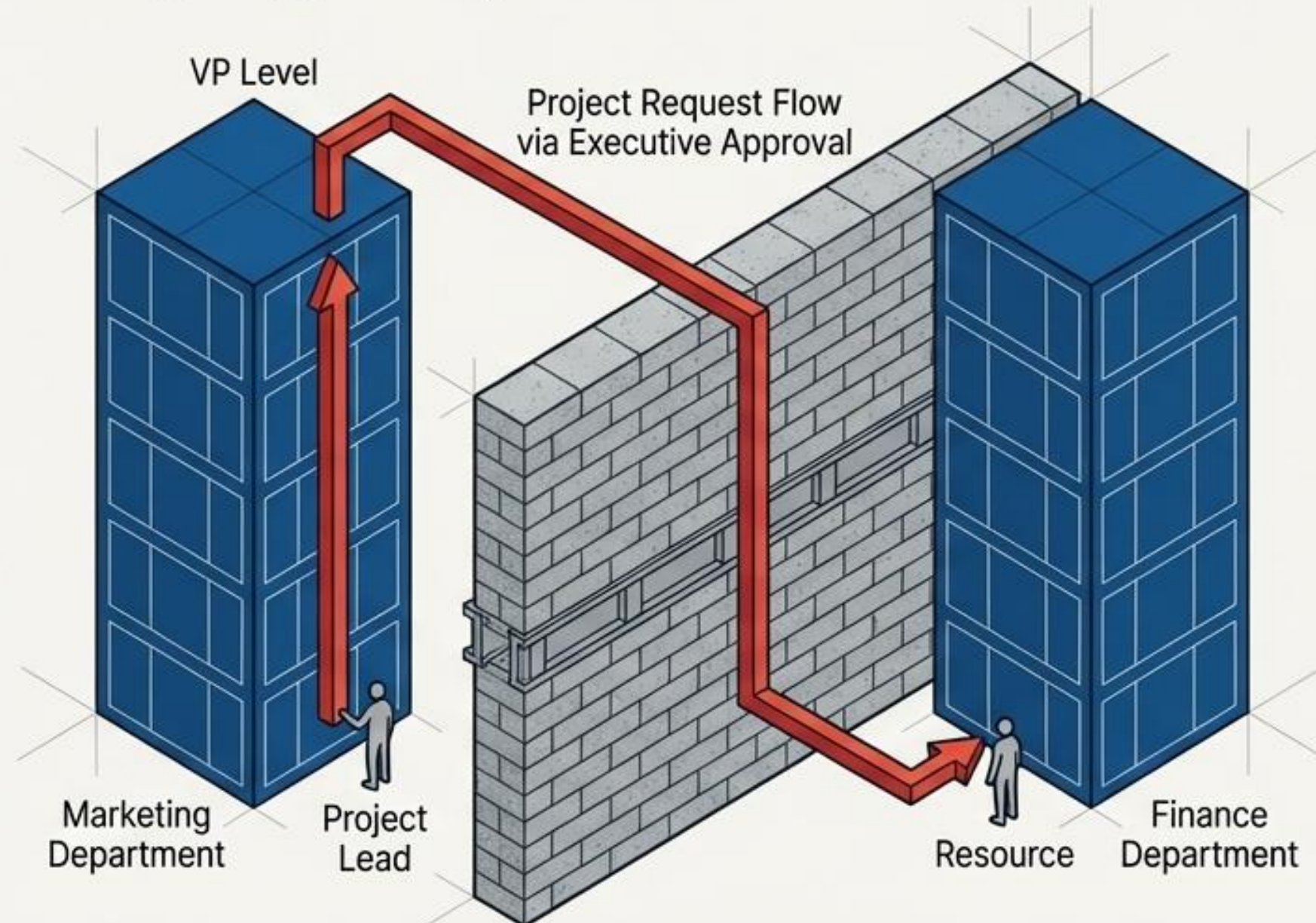
Managing Projects in Functional Silos

The PM's Reality

Little to no formal authority. Titles reflect this: Project Leader, Project Coordinator, or Project Expeditor.

Resource Pressures

Multiple projects fiercely compete for limited resources and shifting priorities.



The Loyalty Divide

Team members remain loyal to their Functional Manager, who controls performance reviews and career paths.

Survival Strategy

Success demands immense reliance on communication, diplomacy, and interpersonal influence to gain buy-in.

The Projectized Organization

Total dedication to the project objective.

Key Characteristics

- PM has ultimate authority over the project, reporting directly to the CEO.
- Supporting functions (HR, accounting) often report directly to the PM.
- Teams are exclusively formed for the project and are often physically co-located.
- Total loyalty belongs to the project, not to a functional department.



Deep Architectural Blue

100% Orange

The Drawback of Total Projectization

Resource Utilization: Julianne, Graphic Designer



The Scenario

Julianne has highly specialized skills needed only at specific phases of a website design project.

The Inefficiency (The Bench)

Between design tasks, Julianne has no formal functional department to return to. She sits idle without assigned work.

The PM's Burden

The Project Manager must constantly find alternative duties (e.g., editing text, assisting marketing) to eliminate idle time, as it is not practical to fire and re-hire specialized talent.

The Matrix Organization

Minimizing differences to maximize strengths.

Dual Boss Tension Vector



The Dual Boss System: Employees report to one functional manager and at least one project manager simultaneously. Upfront negotiation for resource availability is critical.

The Continuum Tracker



Weak Matrix

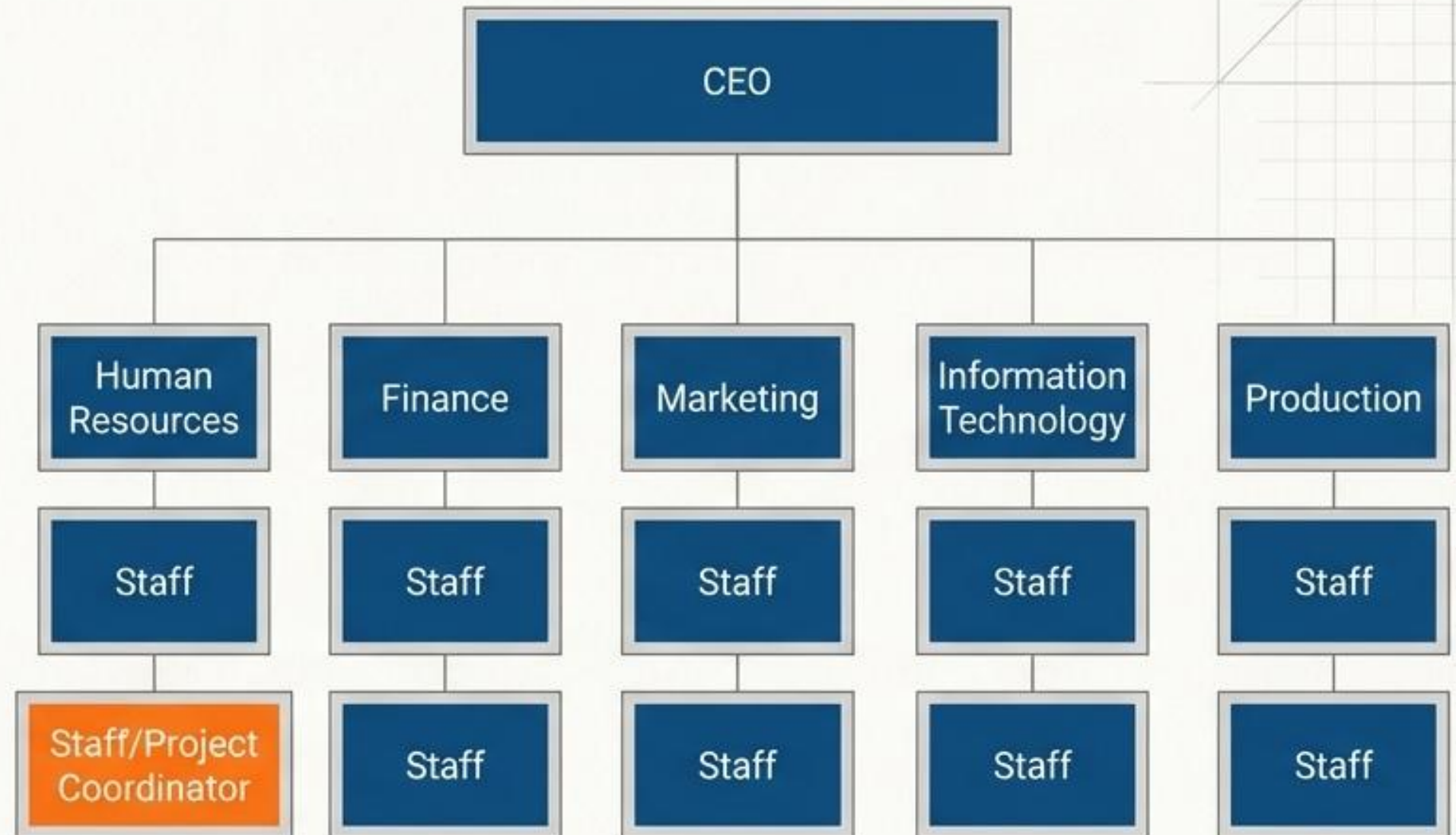
Functional Dominance

Power Dynamic

The functional managers hold the majority of the power and make all work assignments.

PM Reality

The project manager acts simply as a Project Coordinator or Project Expeditor with part-time project responsibilities. They have limited authority, closely mirroring a purely Functional organization.



Balanced Matrix

Balanced Matrix

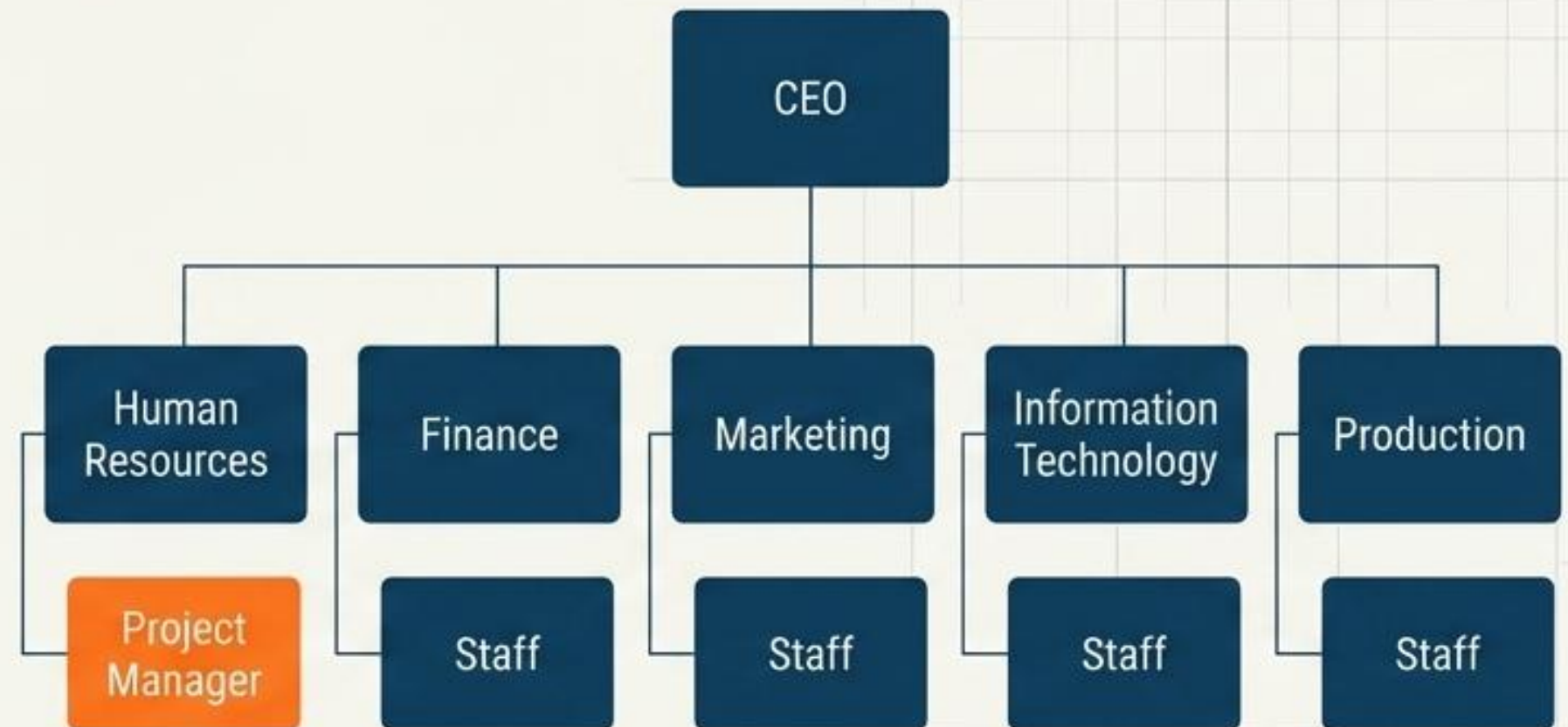
The Shared Authority Model

Power Dynamic

Power is equally balanced between project managers and functional managers.

Resource Allocation

Employees are assigned to projects based on the objective needs of the project, not the political strength or weakness of a specific manager's position. Both managers share the responsibility of performance reviews.



Strong Matrix

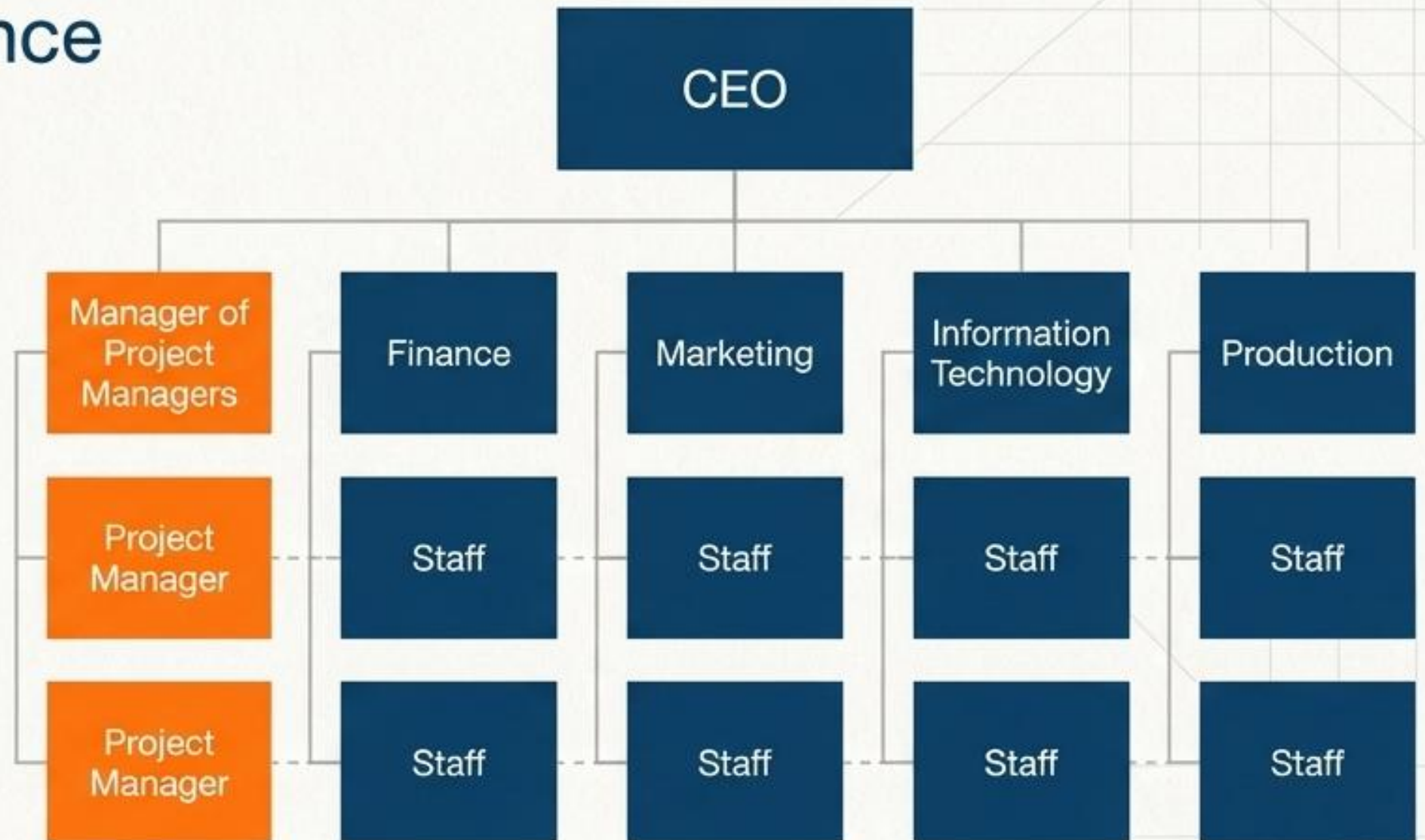
Project Manager Dominance

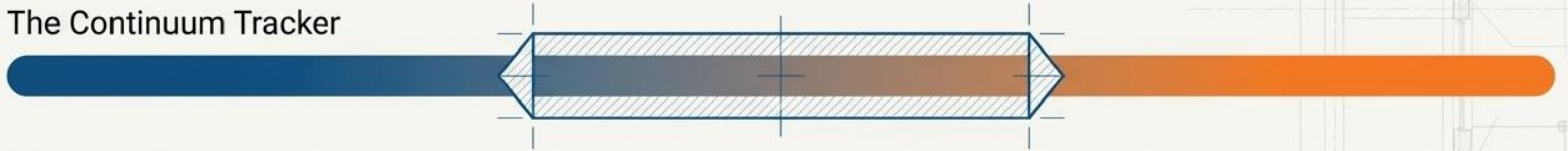
Power Dynamic

The balance of power rests firmly with the Project Manager.

Resource Control

PMs have the ability to 'strong-arm' functional managers to secure the best resources. PMs often negotiate resources directly among themselves, occasionally bypassing the functional manager entirely. This structure closely mirrors a Projectized organization.





Matrix Diagnostic Scorecard

	Weak Matrix	Balanced Matrix	Strong Matrix
PM's Title:	Coordinator/Expeditor	Project Manager	Project Manager
PM's Focus:	Split focus	Projects & work	Projects & work
PM's Power:	Minimal	Balanced	Significant
PM's Time:	Part-time	Full-time	Full-time
Reports To:	Functional Manager	Functional Manager (shared power)	Manager of Project Managers



Project-Based Organizations (PBO)

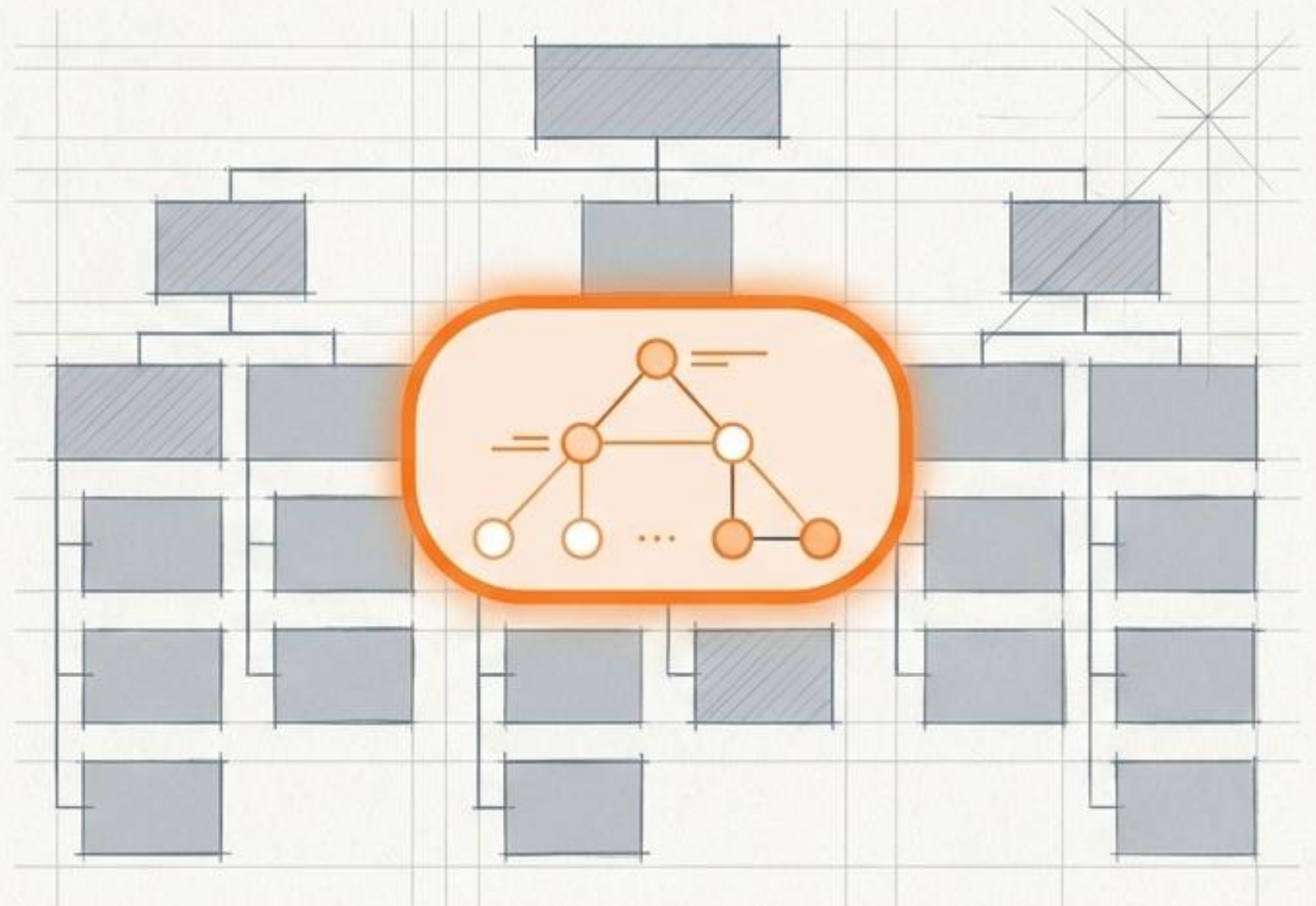
Bypassing the red tape

1 The Concept

A PBO is a temporary structure put in place specifically to perform the work of a project. It can exist within any of the prior organizational structures.

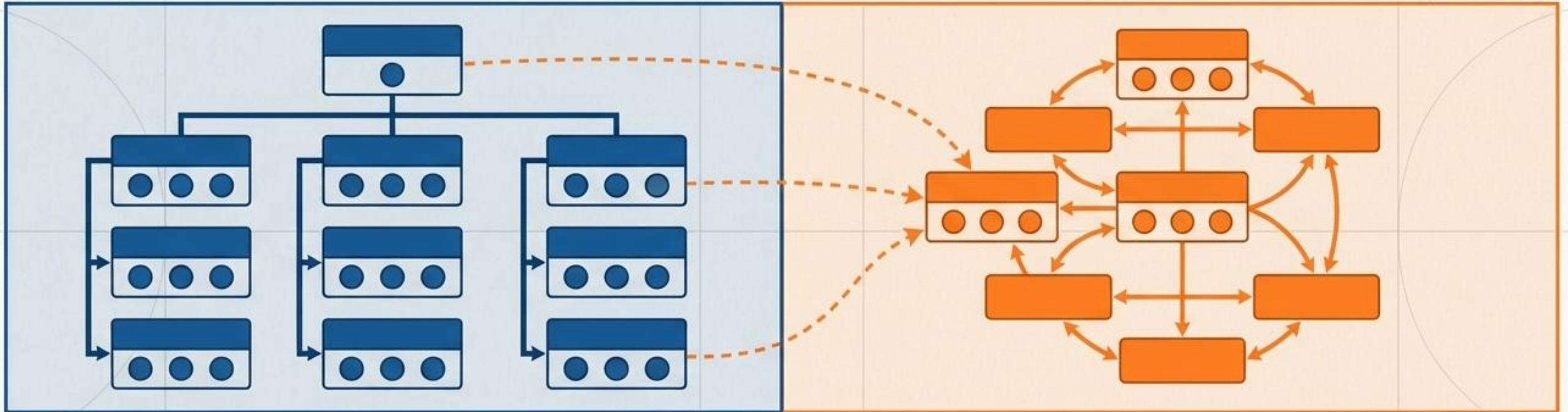
2 The Strategic Advantage

PBOs bypass traditional corporate politics, hierarchy, and red tape. The project team takes its authority directly from the PBO itself, and success is measured strictly by the final product, service, or result.



Highlighting the full spectrum of delegated power

Composite Organizations



The Reality

Purely functional or purely projectized organizations are rare. Most modern entities are composites, blending structures as needed.

The High-Profile Exception

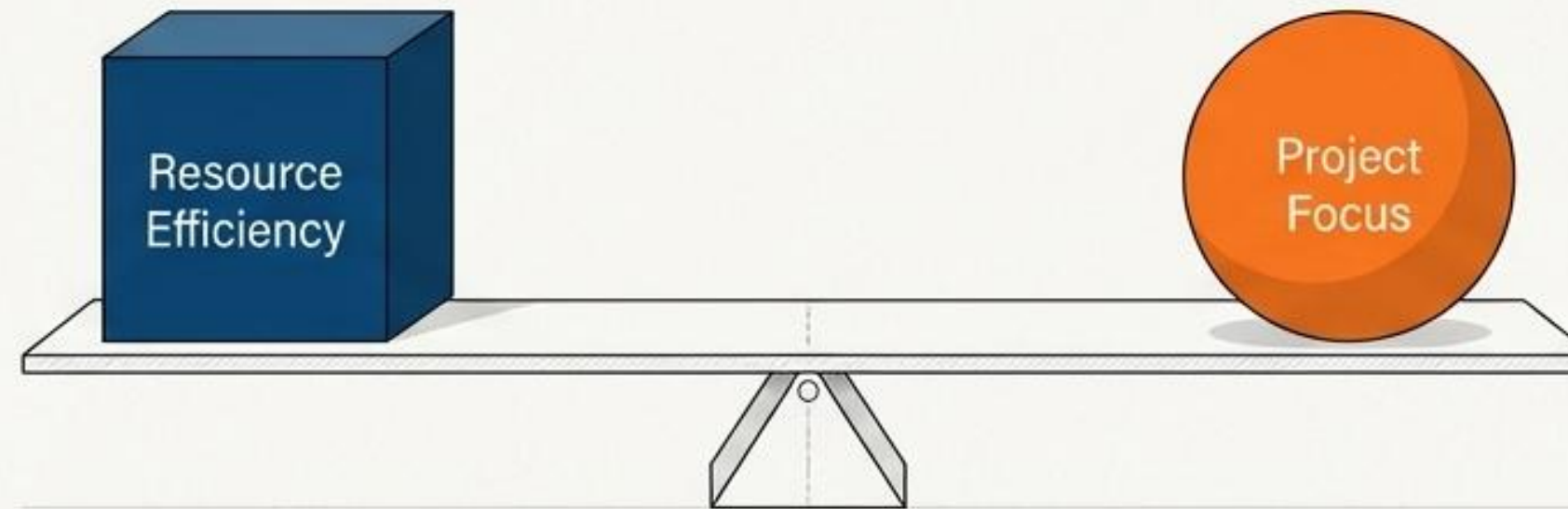
In a functional organization, a critical, high-profile project might trigger the creation of a specialized project team.

How it Works

The team operates outside normal functional bounds (acting Projectized). The PM gains ultimate authority.

Once the project concludes, the team dissolves and members return to functional duties.

The Ultimate Organizational Trade-Off



Every organizational structure is an attempt to resolve primary competing demands: scope, schedule, cost, risk, resources, and quality.



Choose **Functional** for maximum resource efficiency and enduring skill development, at the cost of project focus.



Choose **Matrix** to negotiate the grey area in between.



Choose **Projectized** for ultimate project focus and speed, at the cost of resource utilization (the bench).

Final Thought: Understand your organizational architecture. Your authority is not inherent; it is delegated by the structure you inhabit.